

expense preparing for and attending the October 2025 mediation, which did not include Ms. Miller because she was not then a party. Defendants identify no authority for the proposition that prior participation in an unsuccessful mediation should bar the addition of new parties and the Court does not see how this constitutes cognizable prejudice. Defendants' argument is also undercut by their non-opposition to the addition of R2 Building as a party. If adding one new party at this stage is tolerable, the addition of a second party should not change the analysis.

Statute of Limitations

Defendants' remaining argument is that Sandstone's proposed causes of action against Ms. Miller are time-barred by the four year statute of limitations in Civil Code section 3439.09, because both the underlying obligation (March 31, 2020) and the principal transfers at issue (the May 2020 creation of the 63 Holdings Trust and the April 2021 transfer of 63 Moraga Via) fall outside the four-year window. Defendants further argue that Sandstone cannot invoke relation-back under Code of Civil Procedure section 474, because it knew of Ms. Miller's identity and involvement at the time the original complaint was filed.

Sandstone responds that its claims encompass a broader range of transactions extending through 2024, including transactions involving the Nevada spendthrift trust and 63 Realty Holdings, LLC, that fall within the limitations period. Sandstone also invokes the UVTA's one-year discovery rule, and the discovery rule applicable to common-law fraud claims, arguing that the limitations period for any earlier transactions did not begin to run until Sandstone discovered Ms. Miller's involvement in 2025. Sandstone also argues that, under *Marasco v. Wadsworth* (1978) 21 Cal.3d 82, section 474's ignorance requirement is satisfied where the plaintiff lacked knowledge of the proposed defendant's culpability, not merely the defendant's identity, at the time the original complaint was filed.

In ruling on a motion for leave to amend the complaint, the court generally does not consider the merits of the proposed amendment, because "the preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.) Here, the Court declines to consider the parties' timeliness arguments in ruling on the proposed amendment. If Defendants believe the proposed claims against Ms. Miller are legally deficient, they may raise that challenge by demurrer or other appropriate motion once the SAC has been filed.

Conclusion

The motion is **granted**. Within 15 days of the date of this ruling, Sandstone shall submit a proposed order and file and serve the SAC.

11. 9:00 AM CASE NUMBER: C25-01575

CASE NAME: DONNA PREVOST VS. CMG MORTGAGE, INC.

*HEARING ON MOTION IN RE: RECONSIDERATION OF DENIAL OF CMG MORTGAGE, INC.'S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

FILED BY: CMG MORTGAGE, INC.

TENTATIVE RULING:

Defendant CMG Mortgage, Inc.'s motion to reconsider the Court's denial of its motion to compel arbitration is **denied**.

This is an employment case where Plaintiff alleges that she was harassed and discriminated against due to her race, age and gender. Defendant filed a motion to compel arbitration, arguing that Plaintiff agreed to arbitration in 2019 and 2021.

The Court denied Defendant's motion to compel arbitration on November 19, 2025, finding that the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 (EFAA) applied. Defendant brings this motion for reconsideration under Code of Civil Procedure section 1008. Defendants argue that there is new law based upon *Quilala v. Securitas Security Services USA, Inc.* (2025) 117 Cal.App.5th 75, published on December 16, 2025.

Motions for reconsideration are governed by California Code of Civil Procedure Section 1008. This section allows a party to bring a motion for reconsideration of a prior ruling or order where there are "new or different facts, circumstances, or law". (Code of Civil Procedure section 1008(a).) Any such motion must include "what new or different facts, circumstances, or law are claimed to be shown." (Code of Civil Procedure section 1008(b).) The trial court has discretion in determining what constitutes new law. (*Westmoreland v. Kindercare Education LLC* (2023) 90 Cal.App.5th 967, 976.)

In *Phillips v. Sprint PCS* (2012) 209 Cal.App.4th 758 the court affirmed a trial court's decision to reconsider an order denying arbitration under sections 1008(b) and (c). The court of appeal explained that the trial court acted properly in reconsidering the issue because of the significance of the new opinion, which resulted in a change in law. In *Phillips*, the trial court had denied arbitration based upon *Discover Bank v. Superior Court* (2005) 36 Cal.4th 148, 153, which held that class action waivers were unconscionable. The United States Supreme Court then held that the *Discover Bank* rule was preempted by the FAA in *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 348. The Court of Appeal in *Phillips* agreed with the trial court that *Concepcion* was a major change in California law. (*Id.* at 769.)

Here, Defendant argues that *Quilala* created new law in California to address the extent to which the trial court should review the allegations supporting a sexual harassment claim when determining whether the EFAA applies. Defendant argues that *Quilala* applied a federal pleading standard when determining if the plaintiff alleged a sexual harassment claim.

Quilala summarized the EFAA as creating a "targeted exception to that policy where allegations of sexual harassment or sexual assault are at issue, reflecting Congress's determination

that such claims warrant resolution through the public court system rather than through private arbitration.” (*Quilala, supra*, 117 Cal.App.5th at 83.) *Quilala* discussed the standard for bringing a sexual harassment claim under California law, not federal law. (*Quilala, supra*, 117 Cal.App.5th at 85-86.) *Quilala* also made it clear that the trial court correctly applied *current standards* when reviewing the allegations to determine if the plaintiff stated a plausible claim for sexual harassment, which indicates that the court was not intending to change the law. (*Id.* at 86- 87.)

Here, as in *Quilala*, the Court looked to the allegations in the complaint to determine whether Plaintiff had alleged a claim for sexual harassment under California law. The main difference between this case and *Quilala* is that here it was a close call as to whether Plaintiff had sufficiently alleged a claim for sexual harassment and in *Quilala* there were much stronger factual allegations to support a claim. (*Quilala, supra*, 117 Cal.App.5th at 86.) But the fact that *Quilala* was a stronger case for sexual harassment is not a change in the law. Nothing in *Quilala* suggested that all plaintiffs must bring allegations similar to the level alleged in *Quilala*.

The Court finds that *Quilala* did not constitute new law regarding what allegations are sufficient to state a claim for sexual harassment when determining whether the EFAA applies. Therefore, the motion for reconsideration is **denied**.

Defendant’s requests for judicial notice of the Court of Appeal opinion in *Quilala, supra*, 117 Cal.App.5th 75 is granted (although unnecessary as it is a published opinion). Defendant’s request for judicial notice of the complaint filed in San Francisco Superior Court in *Quilala* is **denied**. The Court of Appeal in *Quilala* sufficiently described the allegations at issue and there is no need for this Court to review the full complaint in *Quilala*.

12. 9:00 AM CASE NUMBER: C25-02272
CASE NAME: GEORGE PAVANA VS. DAS POLLAYIL
***HEARING ON MOTION IN RE: FOR OSC RE SALE OF REAL PROPERTY**
FILED BY:

TENTATIVE RULING:

Pursuant to the Stipulation and Order filed on May 15, 2026, this hearing is continued to August 5, 2026 at 9:00 a.m. in this Department. No appearance is required on May 20, 2026.

13. 9:00 AM CASE NUMBER: C25-03593
CASE NAME: HALIM WINATA VS. KFORCE FLEXIBLE SOLUTIONS, LLC
***HEARING ON MOTION IN RE: TO STAY THIS ACTION PENDING THE RESOLUTION OF ARBITRATION**
FILED BY: THE CAPITAL GROUP COMPANIES, INC.

TENTATIVE RULING:

Defendant The Capital Group Companies Inc.’s (“Capital Group”) Motion for Stay Pending Resolution of Arbitration, filed on January 26, 2026 is unopposed. Accordingly, the Motion is **granted**. This matter is stayed pending resolution of Capital Group’s Motion to Compel Arbitration. The Court will execute the Proposed Order lodged on January 26, 2026. No appearance is required on May 20, 2026.